



HEALTHIER, LONGER,
BETTER LIVES

AIA 2-in-1 Protection Linked Plan (Single Premium)

Internal Training Material

April 2023

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1. Financial planners will conduct financial needs analysis with customers to understand the customer's circumstances, including: "insurance objectives", "product type", "target benefit/coverage period" and "premium payment term", etc.
2. Financial planners will recommend suitable insurance products to customers for reference based on the results of financial needs analysis.
3. After finding suitable insurance product(s), the financial planners will provide and explain to you the relevant main features (e.g. the main policy terms and conditions) of the recommended insurance product.
4. Financial planners will assist the client with the insurance application process.
5. If necessary, the Company will call the customer for post-sales telephone follow-up.

Before recommending any Investment-Linked Assurance Schemes, customers need to conduct financial needs analysis (FNA) and Risk Profile Questionnaire (RPQ) first to understand their insurance and investment needs, affordability and risk profile. Investment-Linked Assurance Schemes are only suitable for customers who have both life protection and investment needs and want to make their own decisions to choose and manage different investment options/ investment choices. We and our financial planner don't provide any investment advice to customers.

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Important Information and Key Risks

Important Information and Key Risks

- 1) AIA 2-in-1 Protection Linked Plan (Single Premium) is an investment-linked assurance scheme (ILAS), which is a long-term investment-cum-life insurance policy issued by AIA International Limited (Incorporated in Bermuda with limited liability) (“AIA”).
- 2) It is not a bank savings product. The investments are subject to the credit risks of AIA and other investment risks. Although your ILAS policy is a life insurance policy, because your death benefit is linked to the performance of the underlying funds selected from time to time, the death benefit is subject to investment risks and market fluctuations.
- 3) What customer are investing in is an ILAS policy. The premiums paid by customer towards the ILAS policy, and any investments made by AIA in the underlying funds you selected, will become and remain part of the assets of AIA. Customer do not have any rights or ownership over any of those assets. Recourse is against AIA only.
- 4) The premiums received from customer, after deduction of any applicable fees and charges of the ILAS policy, will be invested by AIA into the underlying funds corresponding to the Investment Options as selected by customer for our asset liability management. However, the Unit(s) allocated to the Account is notional and is solely for the purpose of determining the Account Value and benefits under the Basic Policy.
- 5) If you select to reduce the Sum Assured by lowering the Prescribed Percentage, the life insurance coverage and in turn the death benefit payable may also be reduced, which may not be sufficient to meet your individual needs. In addition, once the Sum Assured is reduced, it cannot be increased. Please also note that request to change the Sum Assured by lowering the Prescribed Percentage is only accepted on or before the Policy Anniversary on or immediately following the insured’s sixty-fifth birthday.



Important Information and Key Risks

- 6) More importantly, customer should be aware that cost of insurance (“COI”) is one of the applicable fees and charges:
- Part of the fees and charges in the ILAS policy. COI will be deducted from the value of the ILAS policy and will be used to cover the life coverage.
 - The COI may increase significantly during the term of the ILAS policy due to factors such as age and investment losses etc. This may result in significant or even total loss of the premiums paid.
 - The COI will be waived after the Policy Anniversary on or immediately following the insured’s sixty-fifth birthday.

For details of the death benefit and COI, please refer to the section “Death Benefit” and section “B) Summary of fees and charges” respectively.

- 7) The potential return on investments is calculated by AIA with reference to the performance of the underlying funds corresponding to the investment options customer selected. Besides, the potential return shall be subject to ongoing fees and charges which will continue to be deducted from the ILAS policy, hence, it may be lower than the return of the corresponding underlying funds. Each of the underlying funds has its own investment profile and associated risks. Underlying funds available for selection are listed in the investment options brochure.



Important Information and Key Risks

- 8) The Investment Options available under the ILAS policy can have very different features and risk profiles. Some may be of high risks. For example, Investment Options linked to funds with investment in high yield bonds may lead to high risk of significant loss; Investment Options linked to funds that pay dividend out of capital may result in an immediate reduction of the underlying funds' net asset value per unit.
Please refer to the offering documents of the relevant underlying funds for details.
- 9) Early termination, surrender or withdrawal of the Account Value of the ILAS policy may result in significant loss of the investment and premiums paid as well as refund of COI and bonuses awarded (if applicable). Poor performance of the underlying funds may further magnify your investment losses while all charges are still deductible.
- 10) Customer should not purchase this ILAS policy unless customer understand it and the financial planner has explained to you how it is suitable for the customer. The final decision is customer's.
- 11) Investments involve risks. Customer should read the offering documents of the Plan and the underlying funds which can be obtained from the financial planner or downloaded from our website at aia.com.hk. Alternatively, customer can visit our Company's Wealth Select Centre to obtain a copy which will be provided to customer within 14 days upon the request.



Important Information and Key Risks

- 12) This ILAS policy is subject to a surrender charge of up to 7.25% of the Single Premium for the first 5 Policy Years and an upfront charge of 6% for each top up Lump Sum Premium paid (if applicable). It is only suitable for investors who are prepared to hold the investment for a long term period.
- 13) If you are not prepared to hold the Basic Policy for at least 10 years, this Basic Policy is not suitable for customer and it may be cheaper to purchase an insurance policy and make separate fund investments. Customer should seek independent professional advice.



What is a Protection Linked Plan?

- Protection Linked Plan (PLP) is a new category of Investment-Linked Assurance Scheme (ILAS) under the new ILAS regime and has to fulfil a few specific requirements.
- PLP is designed to have a high level of life protection before the insured reaches age 65, which the minimum death benefit for a PLP should at least be equal to 150% of the total premium payable.
- At least one investment option linked to an SFC authorised Environmental, Social and Governance (“ESG”) fund must be offered.
- In short, PLP is an ILAS with embedded high life protection element with simple and transparent fee structure, and selected investment options. It increases the awareness and importance of retirement planning through wealth accumulation.



AIA 2-in-1 Protection Linked Plan (Single Premium)

Product Features



- The single premium and any lump sum premium(s) paid will be used to buy units of the investment option(s) selected by the customer.
- Such units shall be notionally allocated to the policy for determination of the value of and benefits under the policy. Customer do not have any rights or ownership over any of those units.
- Different kind of premium is subject to different kinds of charges.



1. Basic Account:

- On or before age 65 of the insured:
 - Death benefit = the higher of (1) Single Premium x Prescribed Percentage* - the sum of Net Chargeable Amount[#]; and (2) 105% of Basic Account Value
- After age 65 of the insured:
 - Death benefit = the higher of (1) Single Premium - the sum of Net Chargeable Amount[#]; and (2) 105% of Basic Account Value

2. Lump Sum Premium Account (if any):

- 105% of Lump Sum Premium Account Value

* Prescribed Percentage of 150%, 200%, 250%, 300%, 350%, 400%, 450%, 500%, 550%, 600%, 650%, 700% and 750% are available

[#] The net chargeable amount = the Partial withdrawal amount made from the Basic Account – Free Partial Withdrawal Amount. Free Partial Withdrawal Amount = Basic Account Value – Net Single Premium Paid.



AIA 2-in-1 Protection Linked Plan (Single Premium)

Product Features



- Investment options are made available for selection according to the customer's risk tolerance level and investment strategies.
- Customers may switch between investment options free of charge when there is change in their investment strategies.
- Switching between investment options should be at least equal to **USD100 / HKD800 / RMB 700** per transaction.
- Switching into / out of an Investment Option (Cash Distribution) is subject to a minimum investment amount / balance of **USD2,000 / HKD16,000 / RMB14,000** per transaction.



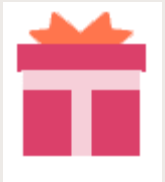
- Under Basic Account, partial withdrawal will be subject to surrender charge in the first 5 policy years.
- However, partial withdrawal from investment gain under Basic Account will not be subject to surrender charge.
- Partial withdrawal will reduce the policy value and death benefit.
- No surrender charge applicable to Lump Sum Premium Account.

AIA 2-in-1 Protection Linked Plan (Single Premium)



LOYALTY BONUS

- A **one-off** loyalty bonus is payable at the **60th monthiversary** while the basic policy is in force.
- Loyalty bonus = **Average month end basic account value based on the bid price in the last 5 policy years x 0.25%**



PERSISTENCY BONUS

- A persistency bonus is **payable monthly** starting from the **61st monthiversary** until the basic policy is terminated.
- Persistency bonus = Average month end basic account value based on the bid price in the last 5 policy years x **a persistency bonus rate scale**



REFUND OF COI

- When the policy is in-force, a **one-off** refund of COI by refunding **at most 50%** of the **actual COI charged** adjusted by the partial withdrawals made (if any) at the end of Year 20 if the **prescribed percentage* is 300% or above** at anytime during the first 20 policy years.
- Refund of COI = Total COI charged during the 1st to the 20th Policy Years x 50% x (Net Single Premium Paid # at the 20th Policy Anniversary ÷ Single Premium)

* Prescribed Percentage of 150%, 200%, 250%, 300%, 350%, 400%, 450%, 500%, 550%, 600%, 650%, 700% and 750% are available

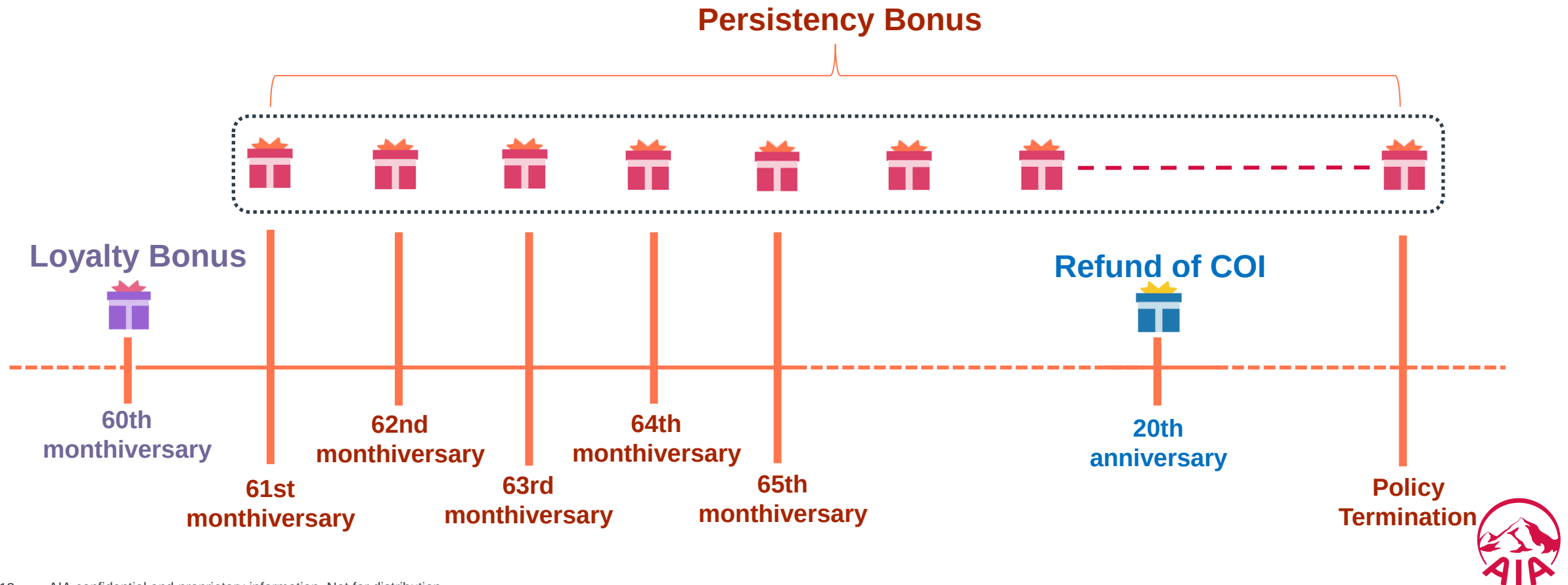
Net Single Premium Paid = Single Premium – sum of all net chargeable amounts for each partial withdrawal made. The net chargeable amount = the Partial withdrawal amount made from the Basic Account – Free Partial Withdrawal Amount. Free Partial Withdrawal Amount = Basic Account Value – Net Single Premium Paid.



AIA 2-in-1 Protection Linked Plan (Single Premium)

Product Features

Loyalty Bonus / Persistency Bonus / Refund of COI under Basic Account



Product Features



Issue Age

- Insured: 15 days – 60 years old
- Applicant: 18 – 60 years old

Premium Structure

- Single Premium
- Lump Sum Investment (Optional)

Min. Single Premium

Min. Lump Sum Premium

- USD6,000 / HKD48,000 / RMB42,000
- USD100 / HKD800 / RMB700

Policy Currency

- USD / HKD / RMB

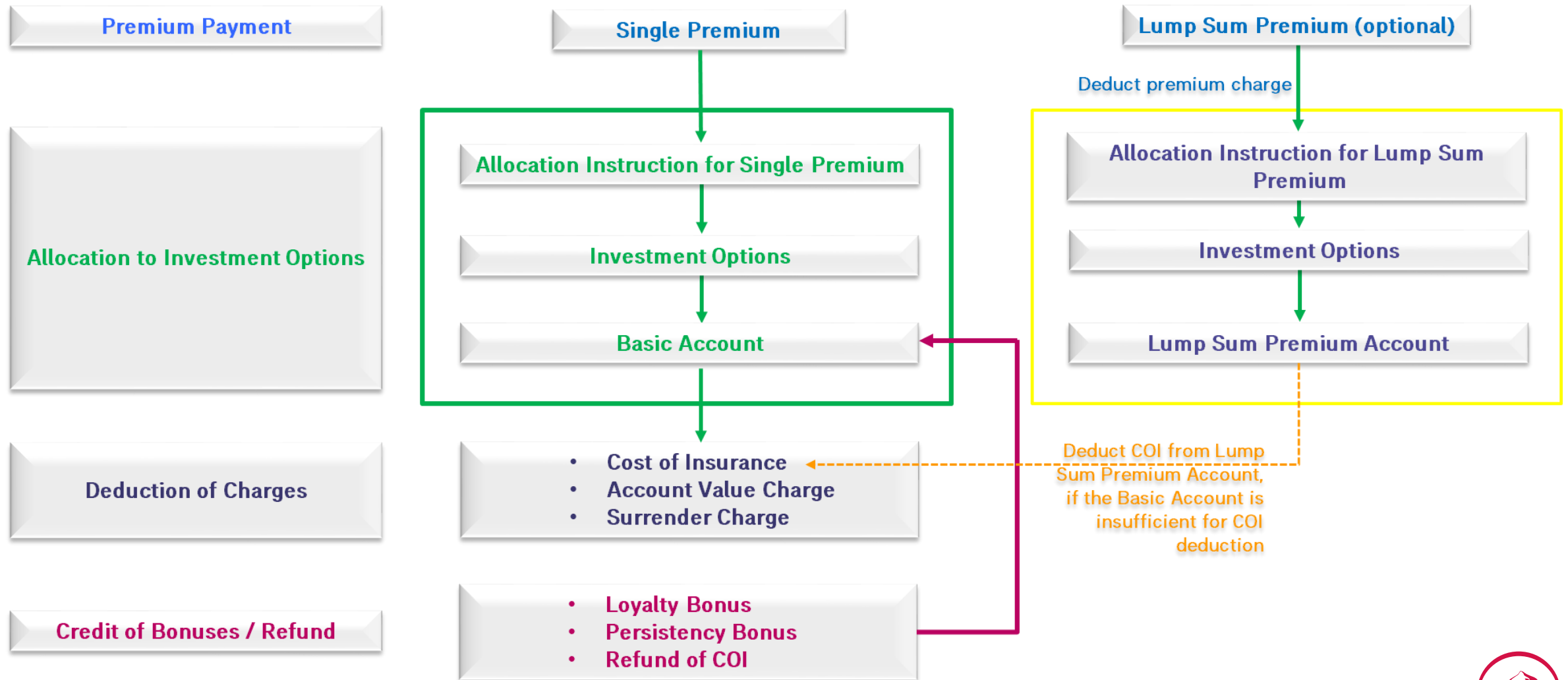
Payment Term

- Single premium

Benefit Term

- Whole life

Product Structure



Sum Assured

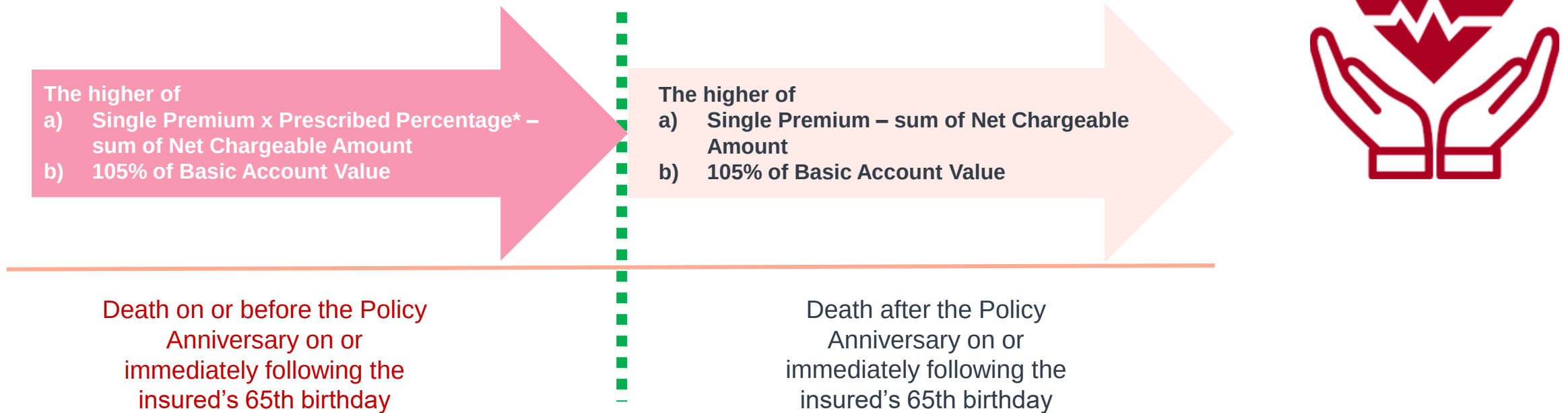


Sum Assured

$$\text{Sum Assured} = \text{Single Premium} \times \text{Prescribed Percentage}$$

- 13 prescribed percentages are made available for selection: 150%, 200%, 250%, 300%, 350%, 400%, 450%, 500%, 550%, 600%, 650%, 700%, 750%.
- Prescribed percentages of 650%, 700% and 750% are not applicable for male smoker.

Death Benefit



* 13 prescribed percentages are made available for selection: 150%, 200%, 250%, 300%, 350%, 400%, 450%, 500%, 550%, 600%, 650%, 700%, 750%.

Please note that the death benefit is linked to the performance of the underlying funds corresponding to the Investment Options selected and is therefore subject to investment risks and market fluctuation. Poor performance of the underlying funds, as well as partial withdrawals, and reduction of the Prescribed Percentage may reduce the death benefit payable, which may be significantly less than the premium paid and may not be sufficient for customer's individual needs. The customer may even lose the life insurance coverage when the policy lapses because of insufficient total account value for the deduction of fees and charges.

Investment Options

- More than 50 Investment Options are available for selection*.
- Include Investment Options with cash distribution features.
- The minimum investment amount of Investment Option (Cash Distribution) is USD2,000 / HKD16,000 / RMB14,000 per transaction.
- Customer may choose up to 10 Investment Options for each premium payment.
Allocation percentage should not be less than 10% for each selected fund option.

* The number of Investment Options and their details can be revised and updated from time to time. Please refer to aia.com.hk for the latest information. For details, please refer to Investment Option Brochure. For details of the Investment Options (including but not limited to investment objectives and policies, risk factors and charges), please refer to the offering documents of the respective underlying funds (including the Product Key Facts)





Fees and Charges

Fees and Charges at a Glance



Type of Charge	Basic Account	Lump Sum Premium Account
Premium Charge	-	6% of each lump sum premium paid
Account Value Charge	Policy Year 1 to 5: 2.5% p.a. Policy Year 6 & onwards: 1% p.a.	-
Cost of Insurance* (COI)	Sum at risk x COI rate	-
Surrender Charge	Applicable in the first 5 policy years	-

*COI will be waived after the Policy Anniversary on or immediately following the insured's 65th birthday

Fees and Charges



Premium Charge on Lump Sum Premium Account

Applicable rate	Deduct from
6% of each Lump Sum Premium received by us deducted upfront before investment	Each Lump Sum Premium received by us

Account Value Charge on Basic Account

Applicable rate	Deduct from
2.5% per annum (i.e. 2.5% p.a. ÷ 12 per month) of the Basic Account Value at each Monthiversary in the first 5 Policy Years	Account Value at each Monthiversary
1.0% per annum (i.e. 1.0% p.a. ÷ 12 per month) of the Basic Account Value at each Monthiversary from the 6 th Policy Year	

Fees and Charges

Surrender Charge on Partial Withdrawal / Surrender on Basic Account



Applicable rate

Deduct from

- Applicable to each partial withdrawal made or surrender on the Basic Account within the first 5 policy years.
- No surrender charge is applicable to withdraw the investment gain from the account value.
- Only the net amount after deducting the surrender charge will be payable.
- Calculated according to the relevant surrender charge rate multiplied by: (1) Net Chargeable Amount (applicable for partial withdrawal) or (2) Net Single Premium Paid (applicable for surrender).

Partial withdrawal or surrender amount.

Policy Year	Surrender charge rate
	Applicable to the (1) Net Chargeable Amount* / (2) Net Single Premium Paid
1st year	7.25%
2nd year	6.00%
3rd year	4.50%
4th year	3.00%
5th year	1.50%
6th year and thereafter	N.A.

* The net chargeable amount = the Partial withdrawal amount made from the Basic Account – Free Partial Withdrawal Amount. Free Partial Withdrawal Amount = Basic Account Value – Net Single Premium Paid. Net Single Premium Paid = Single Premium – sum of all net chargeable amounts for each partial withdrawal made.

Fees and Charges



Cost of Insurance on Basic Account

Applicable rate	Deduct from
- COI will be charged monthly starting from the first policy year up to the policy anniversary on or immediately following the insured's 65th birthday, while the policy is in effect. - COI = Sum at Risk x COI rate - Whereas Sum at Risk = death benefit of the Basic Account - the Basic Account Value, subject to a minimum of zero. - COI rates are based on the following factors of the insured: - Attained Age and / or Issue Age; - gender; and - class of risk (including, but not limited to, health status, smoking status, nationality and residence). - COI rates may increase significantly during the term of the Basic Policy due to the insured's Attained Age and may significantly reduce the Account Value. COI will be waived after the Policy Anniversary on or immediately following the insured's 65th birthday.	- Basic Account Value at each Monthiversary by cancelling Units of Investment Options held in proportion to their respective values. - If any of such Investment Option(s) is unavailable for unit cancellation at a Monthiversary, the COI will be charged by cancelling Units of other Investment Option(s) held in the Basic Account and / or the Lump Sum Premium Account in proportion to their values. When the Basic Account Value is insufficient to pay for the COI, the outstanding COI will be deducted from the Lump Sum Premium Account (if any).



Underlying Funds' Charges



- The underlying funds of the investment options may charge for annual management fee, performance fee, bid-offer spread and / or switching fee.
- Customers do not pay these fees directly – the fees will be deducted and such reduction will be reflected in the unit price of the underlying funds.

For details of the Investment Options (including but not limited to investment objectives and policies, risk factors and charges), please refer to the investment options brochure and the offering documents of the underlying funds.





Bonuses and Refund of COI

Loyalty Bonus

Loyalty bonus

Loyalty bonus = Average Basic Account Value* at the 60th Monthiversary x 0.25%

*Average basic account value is the sum of the basic account value based on the latest available bid price at each monthiversary over the previous 60 months divided by 60.



- A one-off loyalty bonus will be payable at the **60th monthiversary** to the basic account while the policy is in force.
- The loyalty bonus will be credited to the Basic Account in the form of Units of the Investment Option(s) being held in the Basic Account at the 60th Monthiversary by using the Offer Price prevailing at the next Dealing Day.
- In the event that any of such investment option(s) is unavailable for allocation, the loyalty bonus will then be credited by allocating units of other investment option(s) being held in the account in proportion to their values as at the latest available bid price at the respective monthiversary.



Persistence Bonus

Monthly Persistence Bonus

Persistence bonus = Average Basic Account Value* at the relevant Monthiversary on which the bonus is payable x applicable monthly persistence bonus rate

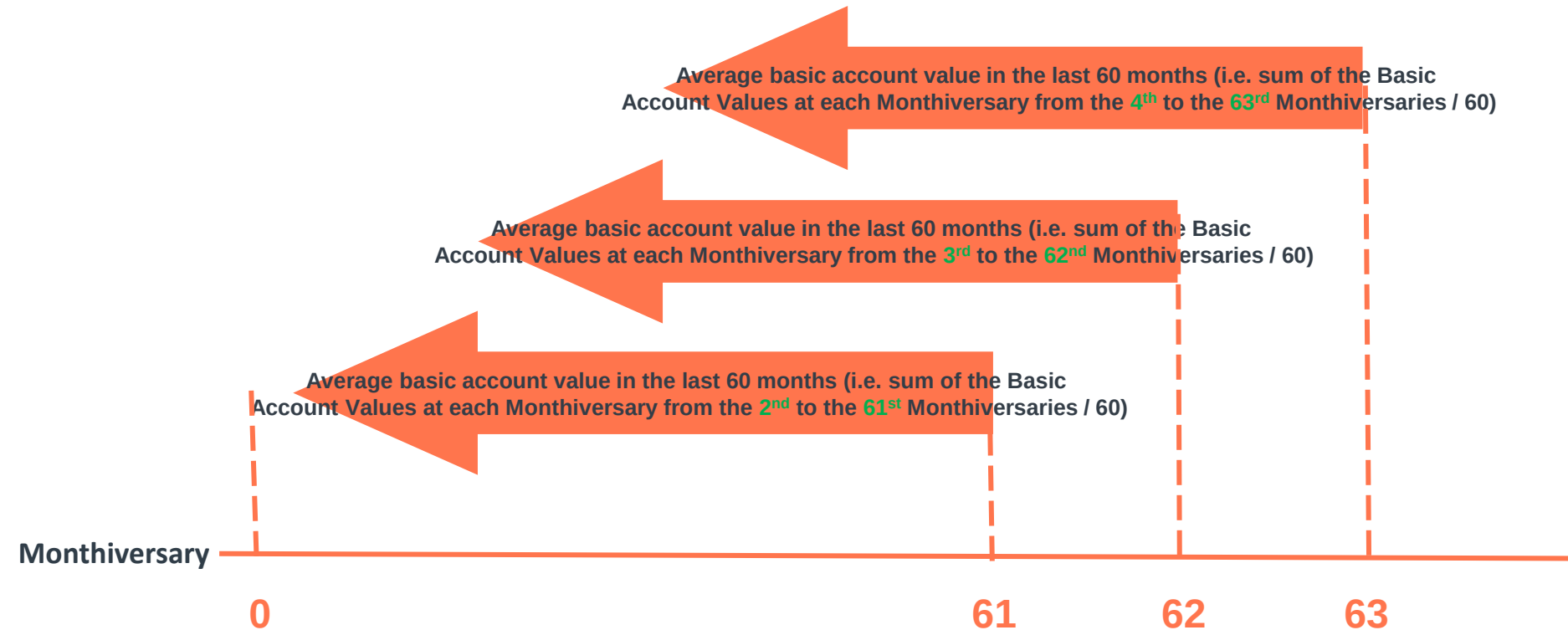
*Average basic account value is the sum of the basic account value based on the latest available bid price at each monthiversary over the previous 60 months divided by 60.

- Persistence bonus is payable at every monthiversary starting from the 61st monthiversary to the basic account until the policy is terminated.
- The persistence bonus will be **credited to the basic account in the form of units** of the investment option(s) being held in the account as at the corresponding monthiversary by using the offer price prevailing at the next appropriate valuation day.
- In the event that any of such investment option(s) is unavailable for allocation, the persistence bonus will then be credited by allocating units of other investment option(s) being held in the account in proportion to their values as at the latest available bid price at the respective monthiversary.

Tier	Average Basic Account Value as per the policy currency			Monthly persistence bonus rate
1st	USD20,000	HKD160,000	RMB140,000	0.2% ÷ 12
2nd	USD30,000	HKD240,000	RMB210,000	0.3% ÷ 12
3rd	USD50,000	HKD400,000	RMB350,000	0.5% ÷ 12
4th	The remaining Average Basic Account Value			0.8% ÷ 12



Persistency Bonus



“Average basic account value” means the sum of **the basic account values** based on the latest available bid price at **each monthiversary** over the **previous 60 months divided by 60**.

Persistence Bonus - Example

Assume the average basic account value in the last 60 months is USD120,000:

Persistence bonus for this month

$$\begin{aligned} & (\text{First USD20,000} \times 0.2\% \div 12) \\ + & (\text{Next USD30,000} \times 0.3\% \div 12) \\ + & (\text{Next USD50,000} \times 0.5\% \div 12) \\ + & (\text{Next USD20,000} \times 0.8\% \div 12) \end{aligned}$$

= USD 45



The above illustration is hypothetical and for illustrative purposes only.



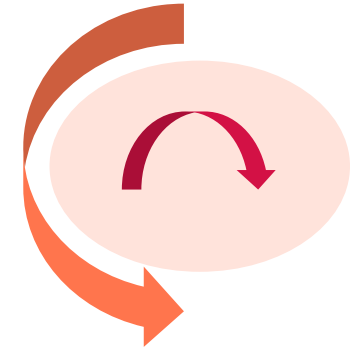
Refund of COI

Refund of COI

Refund of COI = Total COI charged during the 1st to the 20th Policy Years x 50%
x (Net Single Premium Paid* at the 20th Policy Anniversary ÷ Single Premium)

* Net Single Premium Paid = Single Premium – sum of all net chargeable amounts for each partial withdrawal made. The net chargeable amount = the Partial withdrawal amount made from the Basic Account – Free Partial Withdrawal Amount. Free Partial Withdrawal Amount = Basic Account Value – Net Single Premium Paid.

- A one-off refund of COI equivalent to a maximum of 50% of the total COI charged during the first 20 Policy Years is payable at the 20th Policy Anniversary to the Basic Account, provided that:
 - 1) Prescribed Percentage of the Basic Policy is not less than 300% during the first 20 Policy Years; and
 - 2) there is COI actually charged for the Basic Policy during such period.
- If withdrawal has been made from the Basic Account on or before the 20th Policy Anniversary, the refund amount will be adjusted according to the ratio of Net Single Premium Paid at the 20th Policy Anniversary against the Single Premium.
- Refund of COI will not be paid to reinstated policies.
- The amount of COI refunded will be paid in the form of Units of the Investment Option(s) being held in the Basic Account at the corresponding Monthiversary by using the Offer Price prevailing at the next Dealing Day.



Policy Service

Partial Withdrawal

- Minimum partial withdrawal amount is USD100 / HKD800 / RMB700.
- The remaining balance of the account value after the partial withdrawal must be at least equal to USD1,500 / HKD12,000 / RMB10,500.
- The remaining holding balance of any Investment Option (Cash Distribution) immediately after a partial withdrawal should not fall below USD2,000 / HKD16,000 / RMB14,000, subject to zero.
- Basic Account:
 - For each partial withdrawal made during the **first five policy years**, a **surrender charge will apply** if the partial withdrawal amount is in excess of the Free Partial Withdrawal Amount.
 - **Free Partial Withdrawal Amount** – withdraw any investment gain from the account is free of surrender charge.
- Lump Sum Premium Account:
 - No surrender charge is applicable to the Lump Sum Premium Account.

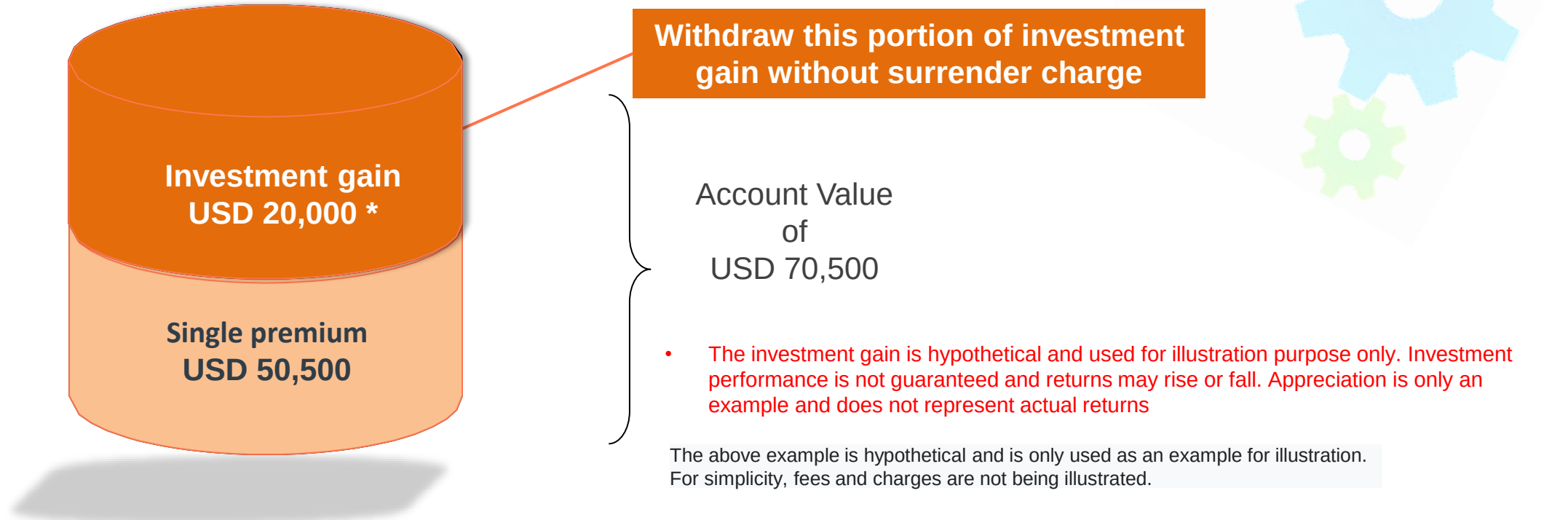
Please note that if a partial withdrawal is made within the first 5 years following the Policy Date, and that the withdrawal amount is greater than the Free Partial Withdrawal Amount, the Net Chargeable Amount shall be subject to a surrender charge of up to 7.25%. Besides, ongoing fees and charges will continue to apply to the remaining Account Value after the partial withdrawal. Partial withdrawal will result in reduction of account value and death benefit and bonuses / refund of COI payable.

Please remind customers that partial withdrawal, magnified by unfavourable investment performance may lead to significant drop in the policy value, and therefore the death benefit and the bonus payable. Once the policy value becomes insufficient to cover the monthly deduction of fee and charges for a policy month, the basic policy will lapse automatically and the customer will lose the life protection.



Partial Withdrawal

Basic Account - No charge for withdrawing investment gain



Assume the policy has not made any withdrawal before:

The investment gain portion in the basic account value (the portion with no surrender charge)

= Basic account value – Single premium

= US\$ 70,500 – US\$50,000 = US\$20,000

Optional Lump Sum Premium

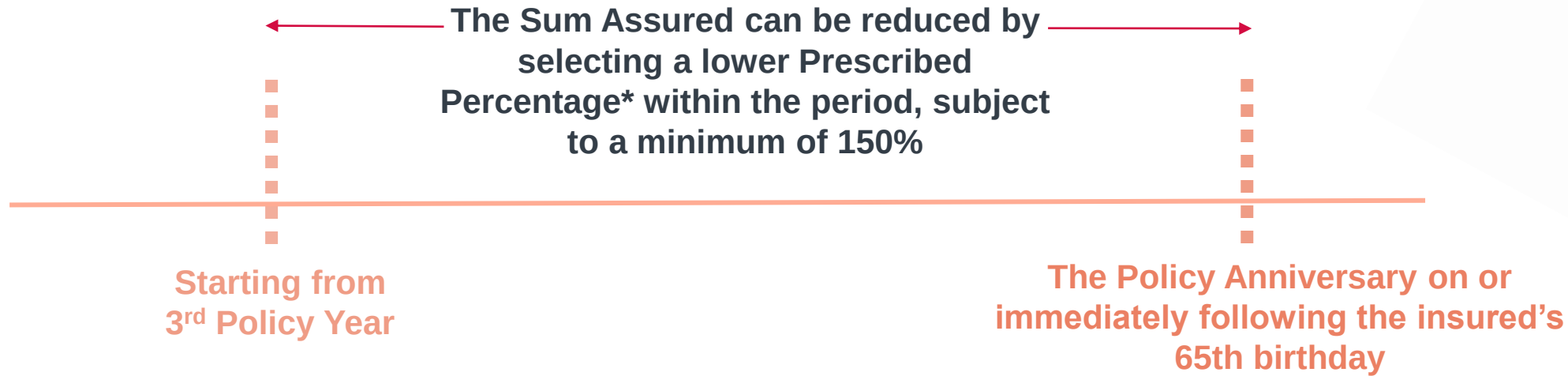
	Minimum premium per transaction For Investment Options	Minimum premium for <u>each</u> Investment Option (Cash Distribution)
Based on policy currency	USD100	USD2,000
	HKD800	HKD16,000
	RMB700	RMB14,000

- Complete the latest “Request for Investment-Linked / Universal Life Plan Services” form (OPPOSF17), Part A (3).
- Complete the latest FNA , RPQ and IFSAD, please refer to “**ILAS Sales Flow**” **Online Training & Internal License Test** (Internal license: I000) for details
- Submit the lump sum top up premium payment together with the documents mentioned to cashiers.
- Per life GIO limit* for lump sum premium:
 - USD 2 million / HKD 15 million / RMB 12 million per life GIO limit.
 - All optional lump sum premiums under all policies of AIA 2-in-1 Protection Linked Plan (Single Premium) and all regular investments and lump sum Investments under all policies of U-Select will count for the GIO limit
 - Optional lump sum premium in the last 12 months is included in GIO limit calculation.
- Over the GIO limit is subject to normal medical underwriting.
- Anti-Money Laundering and Counter-Terrorist Financing Ordinance requirements must be strictly followed.

* This GIO limit is applicable to lump sum top up premium. Normal medical underwriting is required for basic account.



Change of the Sum Assured



- The Sum Assured can be reduced but cannot be increased.
- If Sum Assured is reduced, a lower Cost of Insurance will be charged according to the reduced Sum Assured.
- Cost of Insurance is waived after the Policy Anniversary on or immediately following the insured's sixty-fifth birthday.

* 13 prescribed percentages are made available for selection: 150%, 200%, 250%, 300%, 350%, 400%, 450%, 500%, 550%, 600%, 650%, 700%, 750%.

Termination

The policy will be terminated on the earliest occurrence of any of the following:

- 1) Cancellation of Policy due to cooling-off
- 2) Surrender of Policy
- 3) Death of the insured
- 4) Lapse of Policy due to insufficient account value to cover the relevant fees and charges
- 5) Rescission of the Policy by us as a result of the insured commits suicide within one year from the Policy issue date or Commencement Date, whichever is later

- In the event of (2) above, surrender charge will apply to the basic account value within the first 5 policy years and therefore the surrender value may be lower than the single premium paid. Poor performance of the underlying funds may further magnify the investment losses.



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Investment Options (Cash Distribution)

Investment Option (Cash Distribution)

- Cash dividend is generally distributed monthly (Non-guaranteed).
- Refer to latest monthly factsheets for the annualised yields.
- Investment Options (Cash Distribution) have **fund code starts with “Z”** and are designated with **“(Dis)” at the end of their name**.
- Policyholders holding Units of the Investment Option (Cash Distribution) on the Record Date are entitled to receive cash dividend. AIA will generally distribute the dividend **within 12 working days** upon its receipt of the dividend.
- Dividend is paid in HKD by autopay or other payment methods or currencies offered by AIA at the time of payment.
- **No surrender charge** for dividend payment and banking fee for autopay is currently waived.
- The minimum investment amount or each Investment Option (Cash Distribution) is USD2,000 / HKD16,000 / RMB14,000.
- The remaining holding balance of an Investment Option (Cash Distribution) immediately after a partial withdrawal or switch-out should not fall below USD2,000 / HKD16,000 / RMB14,000, subject to zero.



Investment Options (Cash Distribution)

Important Dates

Record Date	The date an underlying fund of an Investment Option (Cash Distribution) declares cash dividend and AIA records the number of units of the Investment Option (Cash Distribution) held by the policyholders
Ex-Dividend Date	The date on which the underlying fund will deduct the declared cash dividend per unit from the net asset value.
Payment Date	The date on which the underlying fund will distribute the declared cash dividend to AIA.
AIA Dividend Received Date	The date on which AIA received the cash dividend from the underlying fund.
AIA Payment Date	The date on which AIA distributes the cash dividend received to the policyholders. AIA will distribute the cash dividend within 12 working days upon its receipt of the cash dividend.



The AIA Payment Date of Investment Options (Cash Distribution) is dependent of the Payment Date of individual underlying fund, and they can be different.



Risks of Investment Options (Cash Distribution)

Must remind customers of the risks

Potential risks on dividend distribution:

- Dividend should not be relied on as the main or only source of income
- Cash dividends should not be interpreted as fixed income or income that can offset fixed expenses (for example, other policy premiums or daily expenses)
- There is no guarantee that the underlying fund of an Investment Option (Cash Distribution) will distribute cash dividend, distribute fixed amount of cash dividend or distribute cash dividend at a periodic frequency
- Historical dividend yields are for reference only and in no way should they be taken as the prediction or indicator of cash dividend yields for the future; and
- Investment options in distribution shares will not guarantee
 - (1) the distribution of cash dividends;
 - (2) the frequency of distribution; and
 - (3) the amount or rate of cash dividends.



Risks of Investment Options (Cash Distribution)

Must remind customers of the risks

Potential risks on account value :

- An underlying fund of an Investment Option (Cash Distribution) may, according to its dividend policy, pay cash dividend out of investment income, capital gains or capital of the underlying fund. Payment of cash dividend out of capital indicates an actual withdrawal of part of the original investment, or payment of cash dividend out of gross investment income while paying or charging all of the underlying fund's expenses and fees out of or to the capital will lead to an increase in distributable income for payment of cash dividend and hence, the underlying fund may effectively pay cash dividend out of capital. Such payments of cash dividend will result in an immediate decrease in the net asset value per unit of the underlying fund after the date of dividend payment, and change in the unit price of the underlying fund will be reflected in the price of the Investment Option (Cash Distribution).
- As dividend can be paid out directly and will not be reinvested in the underlying fund, the unit price of the investment option or the policy value may remain the same or be reduced. Consequentially, the account value (and death benefit and surrender value) of the policy may be reduced or may remain unchanged. If the Total Account Value is reduced to zero, the Policy will be terminated.
- Payment of cash dividend may increase the COI charged under the ILAS policy, and affect its sustainability.



Risks of Investment Options (Cash Distribution)

Must remind customers of the risks

Potential risks on asset category :

- The underlying fund of an investment option in distribution shares may invest in derivatives and be exposed to counterparty, leverage, liquidity, market, volatility or other relevant risks, all of which may adversely impact the net asset value of the underlying fund.
- The underlying fund of an investment option may be exposed to credit or default risk of the fixed income securities that it invests in. In the event of default or bankruptcy of an issuer, the underlying fund of the investment option may experience significant losses. The actual or perceived downgrading of a rated fixed income security will decrease in value and liquidity, and may have an adverse impact on the net asset value of the underlying fund.



Risks of Investment Options (Cash Distribution)

Must remind customers of the risks

Potential risk on currency:

- Dividend is normally paid in HKD by autopay or other payment methods or currencies offered by AIA at the time of payment. We will convert the cash dividend denominated in the currency of the Investment Options (Cash Distribution) into Hong Kong Dollars. The exchange rates used are based on prevailing exchange rate as determined by us in good faith and commercially reasonable manner with reference to prevailing market exchange rates from time to time. Please refer to aia.com.hk for the prevailing exchange rates. Any risk of currency fluctuations or loss will be borne by customers.



Investment Options (Cash Distribution) – Distribution Arrangement

Hong Kong Policy	Macau Policy
• Pay cash dividend in HKD and FPS / e-BankIn to customer's HKD bank account. • Pay cash dividend in RMB and FPS to customer's RMB bank account provided that: 1) the policy currency is in RMB; 2) the bank account can receive RMB; and 3) the RMB bank account is in Hong Kong.	• Pay cash dividend in HKD / MOP. • e-BankIn to customer's HKD / MOP bank account
• Customer has to submit the “Request for Application / Change of FPS / e-BankIn” form. • If payment to the bank account is rejected, the cash dividend will be converted to the policy currency and transferred to the FPDA of the policy • Currently waive the banking fee for e-BankIn	



Investment Options (Cash Distribution) – Dividend Records

AIA
Web Site

Products → Invest → Investment Information → Investment Options
Information → Underlying Fund Details → Dividend Distribution Record

Composition of the Latest Fund Dividend Payout

Allianz 
Global Investors

Allianz Dynamic Asian High Yield Bond - Class AMg (USD) Dis.

The dividend payout and composition of Allianz Dynamic Asian High Yield Bond Class AMg (USD) Dis. is as follows:

Ex-Dividend Date	Dividend Per Share	Dividend paid out of net distributable income*	Dividend paid out of capital*	Ex-dividend Date NAV
17/08/2020	USD 0.06000	0%	100%	USD 8.37
15/07/2020	USD 0.06000	0%	100%	USD 8.15
15/06/2020	USD 0.06000	0%	100%	USD 8.09
15/05/2020	USD 0.06000	0%	100%	USD 7.81
15/04/2020	USD 0.06000	0%	100%	USD 7.71
16/03/2020	USD 0.06000	0%	100%	USD 8.11
17/02/2020	USD 0.06000	0%	100%	USD 9.03
15/01/2020	USD 0.06000	0%	100%	USD 9.03
16/12/2019	USD 0.06000	73%	27%	USD 8.89
15/11/2019	USD 0.06000	29%	71%	USD 9.13
15/10/2019	USD 0.06000	32%	68%	USD 9.16
16/09/2019	USD 0.06000	5%	95%	USD 9.15
16/08/2019	USD 0.06000	100%	0%	USD 9.18

Sources: Allianz Global Investors/IGS GmbH.

Warning: Please note that a positive distribution yield does not imply a positive return. Investors should not make any investment decision solely based on information contained in the table above. You should read the relevant offering document (including the key facts statement) of the fund for further details including the risk factors.

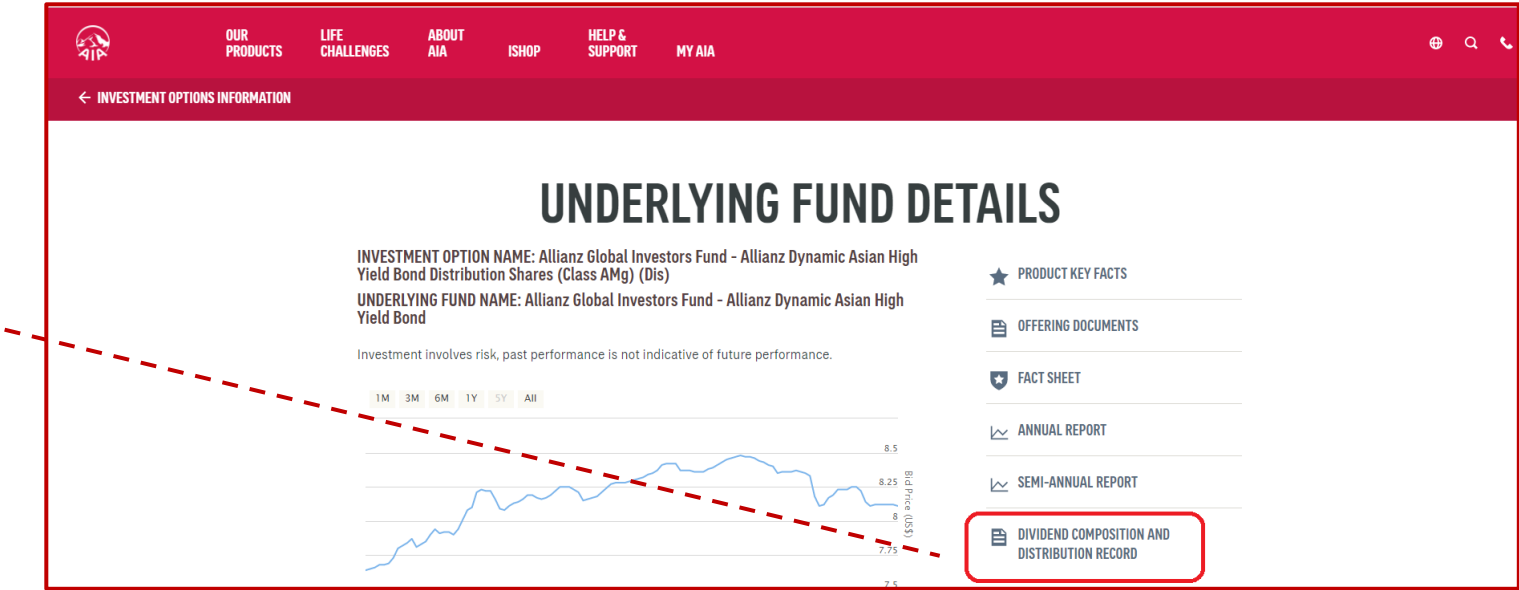
*Capital includes unrealised capital gain (if any) and may not necessarily be equivalent to the investor's original investments.

*Net distributable income means the net investment income (i.e. dividend income, interest income and coupons from bonds, net of fees and expenses) attributable to the relevant share class and may also include net realised gains (if any) based on audited management accounts for the financial year. However, "net distributable income" does not include net unrealised gains.

Net distributable income that has been accrued as at the end of a financial year and is declared and paid as dividends at the next distribution date immediately after that financial year and could be treated as "net distributable income" in respect of that financial year. However, "net distributable income" which has been accrued as at the end of a financial year but is not declared and paid as dividends at the next distribution date immediately after that financial year and should be included as "capital" for the next financial year.

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Investment Options (Cash Distribution) – Dividend Records

Customer Corner/ 「AIA Connect」 / Quarterly Statement

- Customer Corner / 「AIA Connect」 – State each dividend record
- Quarterly Statement – State each dividend record

Customer Corner*

Policy - B021905388, NEW FUND FIVE								
Other policy(ies) B021905388 ▼ Print								
Payment Date	Investment Options	Number of units entitled to cash dividends	Dividend per unit	Foreign Exchange Rate	Dividend	Handling fee#	Net cash dividend	Credited to
Jan 14, 2020	Z03 (JPMorgan Funds - Asia Pacific Income Fund A (nth) - USD share class (Dis) (Z03))	49.91890	USD \$0.50000	1.000000000	USD \$24.95	N/A	USD \$24.95	e-BANKIN
Jan 14, 2020	Z04 (JPMorgan China Income Fund (nth) - USD class (Dis) (Z04))	45.36050	USD \$0.50000	1.000000000	USD \$22.69	N/A	USD \$22.69	e-BANKIN
	Z05 (Neuberger							

「AIA Connect」

csf. 4G 5:18 PM 76%

ACCOUNT DETAILS

DIVIDENDS PAYMENT RECORDS

The latest dividend payment record(s) of each Investment Options (Cash Distribution) is/are shown below.

You can search through "Month & Year" and/or "Investment Option" for the records in the past 6 months.

MONTH & YEAR

INVESTMENT OPTION

SEARCH

LATEST DIVIDEND PAYMENT RECORDS

(Z08)Allianz Global Investors Fund - Allianz Dynamic Asian High Yield Bond Distribution Shares (Class AMg) (Dis)

Payment Date: 14 Jul 2023

*Keep record for 6 months



Investment Options (Cash Distribution) – Dividend Records

Policy Enquiry System (PES)

- Keep Customer's records
- State if a customer can select Investment Options (Cash Distribution)



The screenshot displays the PES interface with a top navigation bar containing icons for E-Form, E-Inquiry, Policies, Print, and C-Print. A dropdown menu is set to "Cash Dividends Payment Record". The main content area shows a message: "Customer has completed the Request or Amendment to U-Select." and "Client has successfully registered in 'AIA e-Invest'". Below this is a section titled "Policy General Information" for "Policy - B021905388, NEW FUND FIVE". A table lists dividend payments for Jan 14, 2020, for three investment options: Z03 (JP Morgan Funds - Asia Pacific Income Fund A), Z04 (JP Morgan China Income Fund), and Z05 (Neuberger). The table columns include Payment Date, Investment Options, Number of units entitled to cash dividends, Dividend per unit, Foreign Exchange Rate, Dividend, Handling fee, Net cash dividend, and Credited to.

Payment Date	Investment Options	Number of units entitled to cash dividends	Dividend per unit	Foreign Exchange Rate	Dividend	Handling fee	Net cash dividend	Credited to
Jan 14, 2020	Z03 (JP Morgan Funds - Asia Pacific Income Fund A (nth) - USD share class (Dis) (Z03))	49.91990	USD \$0.60000	1.000000000	USD \$24.96	N/A	USD \$24.96	e-BANKIN
Jan 14, 2020	Z04 (JP Morgan China Income Fund (nth) - USD class (Dis) (Z04))	45.08090	USD \$0.60000	1.000000000	USD \$22.69	N/A	USD \$22.69	e-BANKIN
	Z05 (Neuberger							

ULP Optimizer

ULP Optimizer

- **ULP Optimizer :**
 - is a new supporting tool designated for AIA 2-in-1 Protection Linked Plan (Single Premium) to optimize the needs for protection and investment under the plan.
 - is an optional tool to assist financial planners to quickly assess scenarios for (1) protection under different levels of sum assured and (2) financial management under different cases of top up investments and partial withdrawals.
- The function of ULP Optimizer is similar to the proposal system with the following differences:
 - A one-page design to provide a smooth browsing experience;
 - Interactive update on the chart and table to reflect top up investments and / or partial withdrawals;
 - Accessible as a standalone application for preview or optionally access it in the sales flow during “e-Application” process.
- The plan details created under ULP Optimizer can be sent to iPoS for e-Application and generation of proposal on PGS.

Information produced by ULP Optimizer is for reference and illustrative purposes only and DOES NOT replace the illustration document required for application of the product. Printing function is disabled in ULP Optimizer.

Please refer to the launch pack of AIA 2-in-1 Protection Linked Plan (Single Premium) for more information of ULP Optimizer.



ULP OPTIMIZER

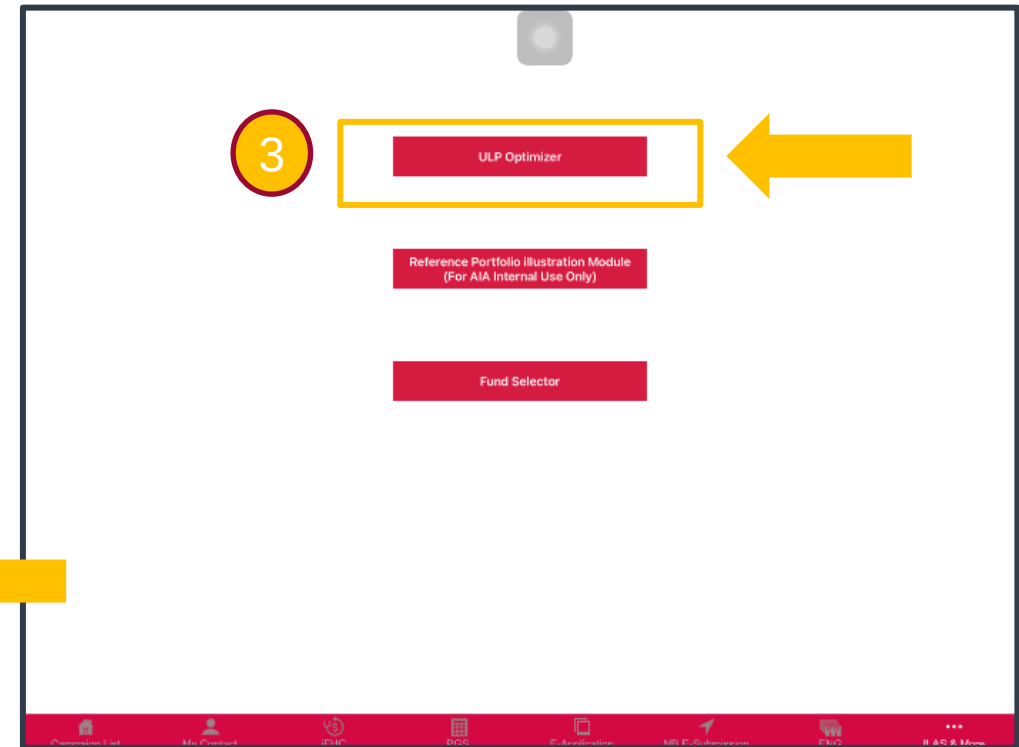
Main access point for ULP OPTIMIZER:

Financial planner can access “ULP OPTIMIZER” in below location:

➤ iPoS > “ILAS&More” > Choose “ILAS Information”



Click “ULP OPTIMIZER” button, then confirm to have read and understood the Important Information



ULP OPTIMIZER

Optional access point for ULP OPTIMIZER:

Financial planner can also access “ULP OPTIMIZER” in below location:

Location: iPoS > “E-Application” > “Financial Needs Analysis Form”

Choose “AIA 2-in-1 Protection Linked Plan (Single Premium)”

The screenshot shows the iPoS Financial Needs Analysis Form. The left sidebar contains a list of menu items: Agent, Applicant, Proposed Insured, Pre-assessment (Optional), Financial Needs Analysis Form (For In-scope/ILAS products), Financial Needs Analysis Form for In-scope/ILAS products (Section D Part 2 - Intermediary Recommendation), Risk Profile, Medical / CI Suitability Assessment, Select Plan/Proposal, Coverage Conversion, Application Form Type, and Important Facts Statement. The 'Financial Needs Analysis Form (For In-scope/ILAS products)' item is highlighted with a yellow box and a yellow arrow. The main content area shows the 'D. Evaluation & Recommendation' section. It includes a heading 'PART 1: Recommendation made by intermediary - to be completed by intermediary' and a sub-heading 'Based on your answers to the questions above, the intermediary concerned has explored the following insurance options (as available to the intermediary) to meet your objective(s) and need(s):'. Below this, there are two evaluation sections: 'Evaluation & Recommendation 1' and 'Evaluation & Recommendation 2'. Each section contains fields for 'Basic/Rider', 'Product Category', and 'Name of Insurance Product(s) Introduced'. The 'Name of Insurance Product(s) Introduced' field in the first section is highlighted with a yellow box and a yellow arrow, showing the selected product 'AIA 「兩全保」保障型投資相連壽險計劃 (整付保費)'. The 'ULP Optimizer' button is also highlighted with a yellow box and a yellow arrow. The bottom navigation bar includes icons for Campaign List, My Contact, iFHC, PGS, E-Application, NB E-Submission, ENG, and ILAS & More.

AIA confidential and proprietary information. Not for distribution.



HEALTHIER, LONGER,
BETTER LIVES

Commission

Commission



		Year	Commission Rate
Basic Account	Basic Premium	FYC	3.22%
	Trailer Fee	Year 7 and after	Production agent: 0.15% ÷ 12 (monthly) Basic Account Value
			Direct leader: 0.05% ÷ 12 (monthly) Basic Account Value
Lump Sum Premium Account	Each Lump Sum Investment	-	2.70%





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Financial Needs Analysis Form (FNA)

Mapping in Financial Needs Analysis Form

Questions		
C1	What are your objectives of buying our product? (tick one or more)	
	A	Financial protection against adversities (e.g. death, accident, disability, etc.)
	B	Preparation for health care needs (e.g. critical illness, hospitalization, etc.)
		The application of the policy meets my insurance objective of providing protection against loss of income during hospital confinement, and it is a medical insurance product with hospital income protection.
		The application of the policy meets my insurance objective of providing protection against increasing expenses for medical and healthcare services, and it is a medical insurance product with hospitalization expense reimbursement benefit.
		The application of the policy meets my insurance objective of providing health protection/critical illness protection for future healthcare services and it offers Lump Sum Payment upon claims of health protection / Critical Illness.
	C	Providing regular income in the future (e.g. retirement income, etc.)
	D	Saving up for the future (e.g. child education, retirement, etc.)
	E	Investment
		To meet your "Investment" objective indicated above, how would you prefer to manage different investment options/investment choices, if available, under the insurance product? (tick one)
		I want to make my own decisions (without any professional advice to be provided by the authorized insurer and/or licensed insurance intermediaries) to choose and manage different investment options/ investment choices, if available, under an insurance product, and I am willing to do it throughout the entire duration of the target benefit/ protection period of an insurance product.
	I want to make my own decisions (with professional advice to be provided by the authorized insurer and/or licensed insurance intermediaries) to choose and manage different investment options/ investment choices, if available, under an insurance product, and I am willing to do it throughout the entire duration of the target benefit/ protection period of an insurance product.	
	I do not want to choose or manage different investment options/ investment choices, if available, under an insurance product.	
F	Others	
C2	What is your target benefit / protection period / expected timeframe for meeting the target amount for insurance policy? (tick one)	
	A	<1 year
	B	1-5 years
	C	6-10 years
	D	11-15 years
	E	16-20 years
	F	>20 years
	G	Whole of Life
Max Premium Term		Single Premium
Common Report Standard		Applicable



Thank You